

cluded in the package. You want to find out what the fund's operating philosophy is. If you can't figure it out—maybe the manager doesn't even have one—throw the material in the wastebasket. If a philosophy is spelled out, then you must decide if it appeals to you, if it looks as if the manager operates in a way you think makes sense, probably the way you'd go about it yourself if you had the time and resources. You can't predict how a fund is going to perform in the next year or two, but you will rest easier, whatever happens, if you have confidence in the way you know the manager is handling your money.

Some people want a fifty-five-year-old manager with a wealth of experience, and others like the idea of a thirty-year-old with fresh ideas and boundless energy. Some investors don't mind a high-turnover fund, figuring the manager is an aggressive opportunist; others are turned off by constant trading. Some can feel comfortable only with a blue chip orientation, while others are drawn to funds loaded with exciting telecommunications and software companies. But if the fund is heavily invested in high-multiple high-tech, you have to understand that there's a good possibility that when the market's down 5 percent, your fund will drop 20 percent. If you can't stand that kind of volatility, you won't be happy even when your fund is making money, because you'll be worried all the time.

You have to own what makes you comfortable, but you also have to diversify. If you know you are value oriented—the kind of person who shops at Filene's Basement instead of Neiman Marcus—by all means choose value managers, one for large-cap and one for small-cap stocks. But then put some money into a growth stock fund as well. As we saw in an earlier chapter, value and growth managers have alternative days in the sun, and you should have a claim on the fortunes of both styles. And you should have some exposure—at least 20 percent—in international funds. I'll have more to say on that topic in a later chapter.

I'm a believer in no-load funds, by the way, and not just because my funds are no-loads. Most obviously, a no-load fund delivers a